Indira Gandhi's Congress.' Morarji Desai was reported to have said, '…the Congress party had been spending money like water.' Indira Gandhi had reportedly denied these allegations saying, '…even a ten-rupee note is a luxury to me.'

Like his predecessor Sir Chintaman, I.G. Patel[11] (RBI Governor 1977–1982) too was not in favour of demonetization. In his book, *Glimpses of Indian Economic Policy: An Insider's View*, Patel wrote that, when the then Finance Minister, H.M. Patel, told him about the step, he asserted '…steps like these rarely have striking results.'

He added, 'Most people in possession of black money rarely keep their ill-gotten earnings in the form of currency for long. *Thinking that black money is stashed away under mattresses or suitcases is naïve…* And in any case, even *those who are caught napping – or waiting – will have the chance to convert the notes through paid agents* as some provision has to be made to convert at par *notes tendered in small amounts for which explanations cannot be reasonably sought*.' Yet the government was insistent, and so '*…the gesture had to be made, and produced much work and little gain*.'

Strangely enough, Finance Minister H.M. Patel[12] had himself described demonetization as 'not worthwhile', a few years earlier. In an article, in the October 1972 issue of Gujarati periodical *Nireekshak*, Patel listed three factors: *high tax rates, controls,* and *corruption, as contributing to the growth of undisclosed, black money*. He said unless these were addressed, there was '*…little point in grappling with shadows until we destroy the conditions which encourage black money.*'

Commenting on the large volumes of cash transactions in India, he noted in the article, 'Agriculture is not subject to income tax and demonetized notes declared by farmers, large, medium and even small, will have to be accepted without question. Farmers may well help holders of black money to escape the net of demonetisers.' Stating bluntly, 'A little thought should convince those who demand demonetisation so vociferously that it would not achieve anything, not